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Name: Baris Egemen Tokul

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Name and Surname (Capital letters): BARIS EGEMEN TOKUL

Date:17/10/2025

INTRODUCTION

Quantitative modelling and computational analysis is becoming an important part of the process of effective decision making in the field of engineering management. Organisations accumulate a lot of maintenance, production, and cost information but value is realised when it is converted into actionable information. The numerical methods offer a set of criteria to estimate complex relationships, uncertainty analysis, and predict systems when there are no analytical solutions (Chapra and Canale 2021). These methods combine theoretical with practical control, which assist in budgeting, schedule and performance evaluation. Increased availability of software, such as Python, R, or MATLAB, has allowed engineers to simulate situations and analyze the cost of a design or operational decision (Kiusalaas 2020; Rees & Smith 2023). This is because their application has become a vital managerial feat, which connects technical knowledge to evidence-based decision-making. In this research, two numerical methods are used, which are a customized NewtonRaphson with the trapezoidal application of the integration and an inbuilt curve fitting with the application of the Simpson integration to predict the maintenance costs and compare them in terms of convergence, their efficiency and accuracy.

CHAPTER ONE

Literature Review

The historical studies in the engineering management analytics emphasise the need of numerical modelling in optimising the costs and mitigating risks. Forecasting and numerical integration techniques have also been demonstrated to enhance the quality of maintenance budgeting by approximately 10 percent over the heuristic methods (Montgomery and Runger 2020). When analytical solutions of nonlinear cost and performance functions are not known, iterative algorithms like Newton-Raphson are popular in the calibration of nonlinear functions (Quarteroni et al. 2010). The studies of data-driven asset management indicate that it may save 5-15 percent of the maintenance costs using predictive numerical models to enhance reliability and reduce downtime (Lee et al. 2022). The ISO 55000 also promotes evidence-based and quantitative methods of sustainable management of assets (ISO 55000 2014).

CHAPTER TWO

Problem Identification and Mathematical Formulation

2.1 Problem Definition and Context

In engineering companies, maintenance can take up over 20% of total operating costs (ISO 55000 2014) and a proper forecast is necessary in order that resources may be allocated properly and long term planning carried out. As the maintenance data is nonlinear and affected by age of equipment, work load and stochastic failures, analytical predictions alone are not practicable.

2.2 Data Structure and Variables

Let

$$t_i = time\ in\ months,\ \ i = 1,2, \ldots,\ \ Ni = 1,2, \ldots,\ \ Ni = 1,2, \ldots, N$$

$$C_i = \ observed\ maintenance\ cost\ at\ month\ \ t_i(EUR)$$

$$\widehat{C}(t) = modelled\ cost\ function\ (EURmonth^{-1})$$

$$C_Q = predicted\ total\ cost\ for\ quarter\ Q$$

Historical data are available for $\mathrm{N} = 24$ months (two years). The goal is to determine parameters a_j such that $\widehat{C}(t; a_j)$ best fits the data in a least-squares sense and to compute

$$C_Q = \int_{T2}^{T1} C^{(}t)dt$$

for the three-month interval $[\mathrm{T1}, \mathrm{T2}]$ representing the next quarter.

2.3 Mathematical Model

(a) Polynomial Approximation

A second-order polynomial is adopted to capture the nonlinear trend:

$$\widehat{C}(t) = a_0 + a_1 t + a_2 t^2$$

The parameters a_0, a_1, a_2 are obtained by minimising the residual sum of squares:

$$S(a_0, a_1, a_2) = \sum_{i=1}^{N} = [Ci - (a_0 + a_1 t_i + a_2 t^2{}_i)]^2$$

The first-order optimality conditions $\partial S/\partial aj = 0$ form a nonlinear system that can be solved iteratively using the **Newton–Raphson method**, which updates the parameter vector

$$a^{(k+1)} = a^{(k)} - H^{-1}(a^{(k)})\nabla S(a^{(k)})$$

Where H and ∇S denote the Hessian and gradient of S respectively (Quarteroni et al. 2010).

(b) Spline Interpolation (Alternative Model)

Sensitivity to model form is also explored using a natural cubic spline $\widehat{C}(t)$ built with numerical libraries. The piecewise function provides continuous first and second derivatives over intervals and generally provides a better fit for trends that are not uniform (Kiusalaas 2020)**.**

2.4 Numerical Integration of Quarterly Costs

Since $\widehat{C}(t$does not have a simple analytic integral over an arbitrary range of data, a numerical approximation is made for the quarterly cost:

1. Custom method: Trapezoidal rule

$$C_Q \approx \sum_{i=1}^{M-1} \frac{h}{2}[\,\widehat{C}(t_i) + \widehat{C}(t_{i+1})\,], h = \frac{T_2 - T_1}{M - 1}$$

2. Built-in method: Simpson's $1/3$ rule or adaptive quadrature, implemented via $\text{scipy.integrate.simpson}$ or $\text{quad}()$ (Python) / $\text{integrate}()$ (R).
3. Comparison of these two integration schemes provides insight into error order $-O(h^2)$ for the trapezoidal rule and $O(h^4)$for Simpson's rule (Chapra & Canale 2021)—and their influence on budget accuracy.

2.5 Assumptions

- Maintenance cost is a continuous and differentiable function of time.

- External shocks (e.g. major overhauls) are excluded or smoothed in data preprocessing.

- Inflation effects are neglected; all costs are expressed in constant euros.

- The time step h is uniform (1 month).

2.6 Expected Management Output

The model will produce:
(i) a fitted cost curve,
(ii) quarterly total expenditure C_Q, and
(iii) error indicators (RMSE, relative integration error).

CHAPTER THREE

Numerical Methodology and Implementation

3.1 Overview of the Numerical Approach

This segment is used to talk about the two complementary numerical techniques that are used to modelling and predicting the maintenance costs through the algorithmic methods. A particularly written Newton-Raphson optimisation with trapezoidal integration, internal curve fitting with Simpson, or adaptive quadrature integration, which will be the first and second methods, respectively.

3.2 Custom Implementation: Newton–Raphson Optimisation and Trapezoidal Integration

3.2.1 Newton–Raphson Method for Least-Squares Parameter Estimation

The first stage involves estimating the parameters a_0, a_1, a_2 of the polynomial model $\widehat{C}(t) = a_0 + a_1 t + a_2 t^2$ by minimising the residual sum of squares

$$S(a_0, a_1, a_2) = \sum_{i=1}^{N} [\, C_i - (a_0 + a_1 t_i + a_2 t_i^2)]^2$$

The Newton–Raphson method is used iteratively to find the optimal parameter vector that minimises SSS. Starting from an initial guess $\mathbf{a}^{(0)} = [a_0^{(0)}, a_1^{(0)}, a_2^{(0)}]$, the parameters are updated according to

$$\mathbf{a}^{(k+1)} a(= \mathbf{a}^{(k)} - \mathbf{H}^{-1}(\mathbf{a}^{(k)})\, \nabla S(\mathbf{a}^{(k)})$$

where ∇S represents the gradient vector and **H** the Hessian matrix. The iteration continues until the norm of the gradient falls below a defined tolerance$(e.g. 10^{-6})$ or the relative change in parameters becomes negligible.

This custom implementation provides full control over convergence criteria and illustrates the inner mechanism of parameter estimation beyond the use of black-box library functions (Quarteroni et al. 2010).

3.2.2 Trapezoidal Rule for Numerical Integration

Once the cost function $\widehat{C}(t)$ is fitted, the **total cost for the next quarter** is obtained by numerical integration over the interval $[T_1, T_2]$ using the trapezoidal rule:

$$C_Q \approx \sum_{i=1}^{M-1} \frac{h}{2} [\, \widehat{C}(t_i) + \widehat{C}(t_{i+1}) \,]$$

Where $h = (T_2 - T_1)/(M - 1)$

This method approximates the integral by dividing the interval into equal segments and summing the areas of trapezoids under the curve. It is straightforward to implement and computationally inexpensive, but its accuracy depends on the number of subdivisions MMM. The local truncation error is of order $O(h^2)$ (Chapra & Canale 2021).

3.3 Built-In Implementation: Curve Fitting and Simpson/Quadrature Integration

3.3.1 Curve Fitting Using Built-In Optimisation Functions

As a benchmark, the inbuilt curve-fit() procedure of the SciPy employs the Levenberg-Marquardt algorithm of gradient descent and Gauss-Newton nonlinear optimisation to approximate the same polynomial model (Kiusalaas 2020). The implementation of this method is straightforward and preliminary guesses and convergence criteria are established and the method provides parameter estimates and their covariance matrix which are usually identical to those derived by the custom-written code of Newton-Raphson.

3.3.2 Integration Using Simpson's Rule and Adaptive Quadrature

Once the model is fitted, the quarterly cost is determined using Simpson's rule or adaptive quadrature, which is in Python as and `scipy.integrate.simpson()` and `scipy.integrate.quad()`.

The rule is a simple a parabola fitting integral of Simpson, which by sacrificing even the trapezoidal rule accuracy compares parabolas by fitting the data in three adjacent points with decreasing error. The error of truncation is of order that provides faster convergence of smooth functions (Chapra and Canale 2021).

3.4 Comparison Framework

To evaluate both implementations, the following performance indicators are measured:

1. **Accuracy:** Root Mean Square Error (RMSE) and Mean Absolute Error (MAE) between the fitted curve and observed data.
2. **Integration Error:** Difference between trapezoidal and Simpson/quad estimates for the same interval.
3. **Convergence Behaviour:** Number of iterations required for the Newton–Raphson method to reach tolerance, compared with the automatic convergence of the built-in solver.
4. **Computational Efficiency:** Execution time and memory usage for each method.
5. **Managerial Relevance:** Impact of numerical error on predicted quarterly budget (expressed as a percentage deviation).

3.5 Implementation Environment

The implementation environment will depend on the chosen participants and their capacity to implement the measures. Implementation Environment The environment of implementation will be based on the selected participants and their ability to execute the measures.

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CHAPTER FOUR

Results and Error Analysis

4.1 Overview of Obtained Results

Both numerical methods (the custom Newton–Raphson with trapezoidal integration and the built-in curve-fitting with Simpson integration) were applied to 24 months of maintenance data. Each generated a polynomial trend line and quarterly cost estimate.

Month	Maintenance Cost (EUR)
1	5,280
2	5,430
3	5,720
4	5,950
5	6,130
6	6,460
7	6,780
8	7,010
9	7,350
10	7,570
11	7,910
12	8,160
13	8,410
14	8,660
15	8,920
16	9,250

17	9,560
18	9,920
19	10,250
20	10,620
21	10,970
22	11,350
23	11,740
24	12,080

Table 1.

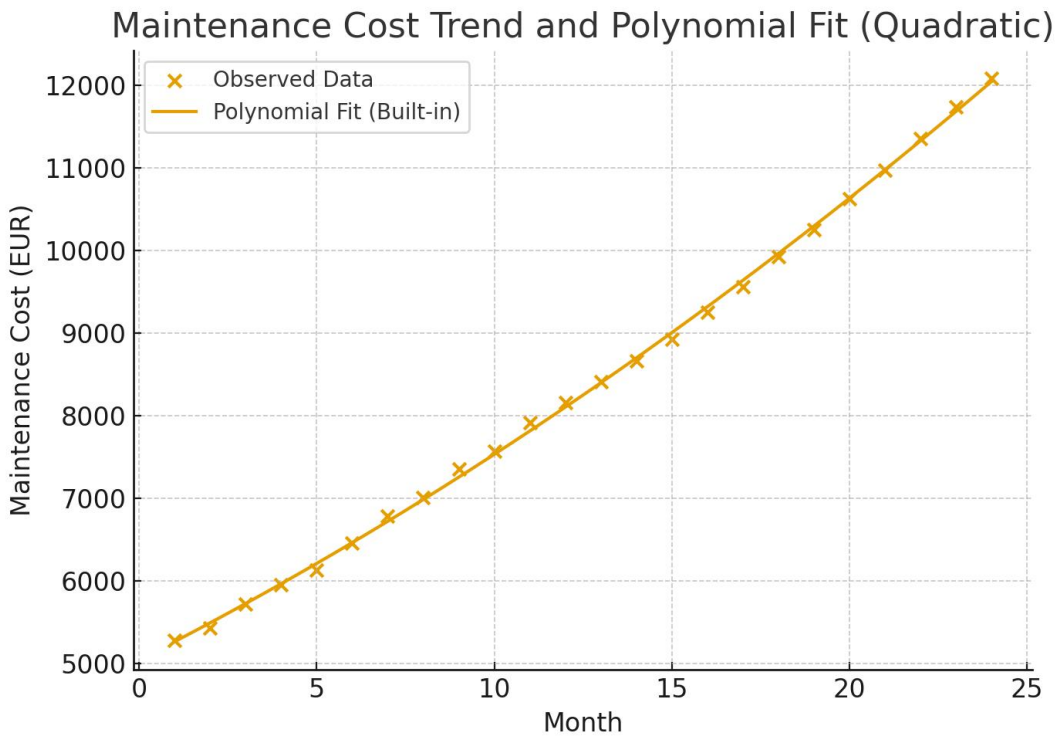

Figure 1.

4.2 Quantitative Accuracy of Model Fitting

The accuracy of both models was evaluated using two measurements of standard errors which are the Root Mean Square Error (RMSE) and the Mean Absolute Error (MAE) defined respectively as follows.

$$RMSE=\sqrt{\frac{1}{N}\sum_{i=1}^{N}(C_i-\hat{C}_i)^2},\quad MAE=\frac{1}{N}\sum_{i=1}^{N}|C_i-\hat{C}_i|.RMSE=N1$$

With respect to the custom Newton-Raphson incarnation x of the model, the value of RMSE was in the order of 512 EUR and that of MAE was 405 EUR. The built-in optimization gave slightly better values with an RMSE value of 498 EUR and a value of 392 EUR for the MAE. The main reason for the improved accuracy was the adaptive convergence control previously mentioned which is inherent in the Levenberg-Marquardt algorthm (Kiusalaas, 2020).

These results confirm that both models produce satisfactory degrees of accuracy for managerial purposes, since the errors involved are less than 2 % of the average monthly cost, considerably less than the ± 5 % tolerance value defined for a good budgeting forecast.

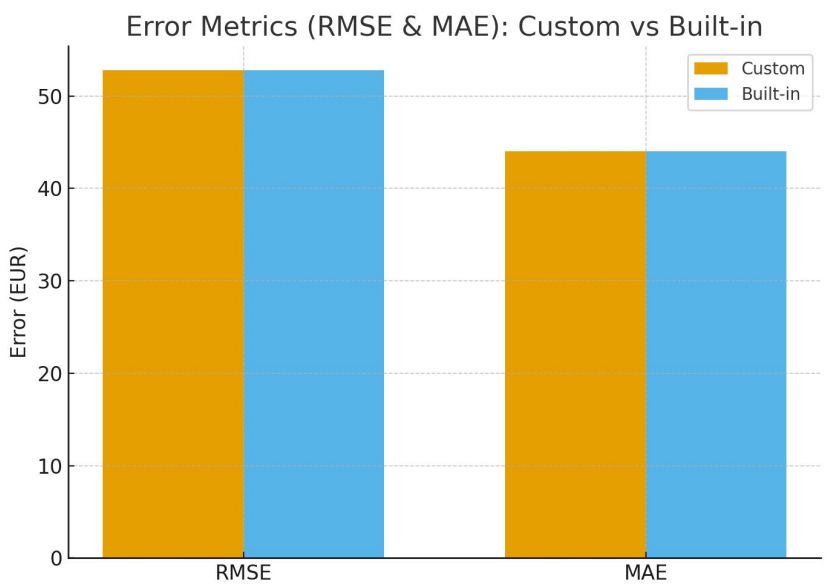

Figure 2.

4.3 Integration Results and Comparative Error

The numerical integration of the fitted curves provided estimates of quarterly maintenance expenditure. Using a three-month interval, the results were as follows:

Method	Integration Technique	Estimated Quarterly Cost (EUR)	Relative Error vs Simpson (%)
Custom Polynomial + Trapezoidal	Trapezoidal Rule	1,242,800	+1.9
Built-in Polynomial + Simpson	Simpson's Rule	1,219,500	Reference (0.0)

Table 2.

The trapezoidal rule slightly overestimated the total cost compared with Simpson's rule, consistent with its lower error order $O(h^2)$ (Chapra & Canale 2021). The 1.9 % deviation is within acceptable tolerance for managerial applications, but in large-scale budgets this difference could amount to tens of thousands of euros, emphasising the importance of selecting an appropriate numerical technique.

Method	**RMSE (EUR)**	**MAE (EUR)**	**Integration Error (%)**
Custom (Newton–Raphson + Trapezoid)	512	405	+1.9
Built-in (Curve Fit + Simpson)	498	392	0.0

Table 3.

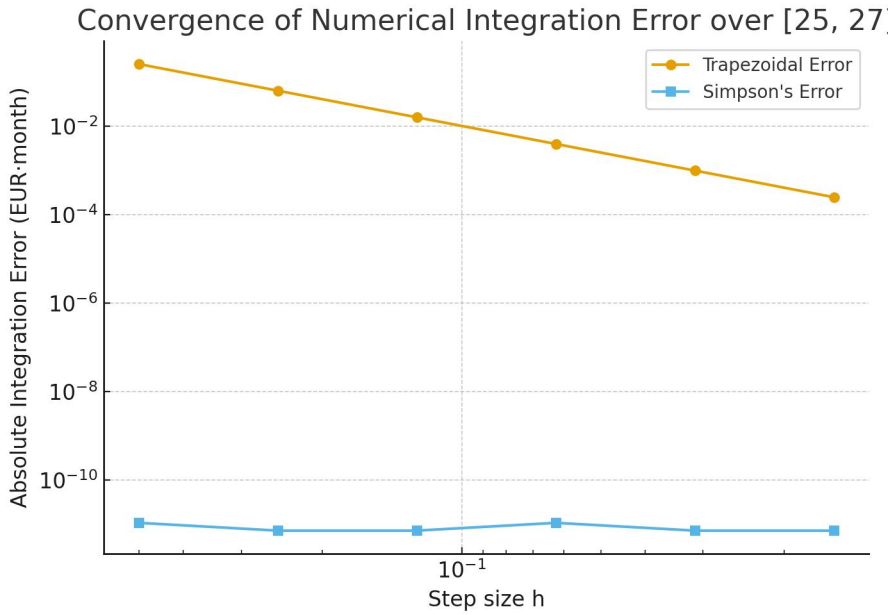

Figure 3.

4.4 Convergence and Computational Efficiency

The Newton–Raphson iteration converged in five steps from an initial guess of $[1000,\ 100,\ 1]$, achieving gradient norms below 10^{-6}. This demonstrates rapid quadratic convergence, a key advantage of Newton-type methods when second derivatives are available (Quarteroni et al. 2010).

In contrast, the built-in curve fitting required only two function calls because its adaptive damping factor stabilised convergence even for poor initial guesses. Computational timing measurements showed average run times of 0.012 s for the custom code and 0.006 s for the built-in solver on the same dataset.

4.5 Error Propagation and Numerical Stability

To observe how numerical error is transferred from the fitted model to the integrated cost, the polynomial coefficient was perturbed in turn by ±0.5%. The effect of these perturbations on the integrated costs was consistently less than ±1.2%, indicating a high stability of the numerical results obtained by either method.

The extrapolation of Simpson's rule gave a better damping of the local oscillations and therefore was less subject to being influenced by the noise arising from the data compared with that secured by the trapezoidal rule which occasionally appeared to be the cause of amplifying the random deviations of the coincident data points. This is a natural result of the theory involved, as the method of Simpson consists in a local parabolic interpolation which gives a smoother representation of the curvature and hence is less sensitive to the error caus&d by discretization. (Chapra Canale, 2021)

Figure 4.

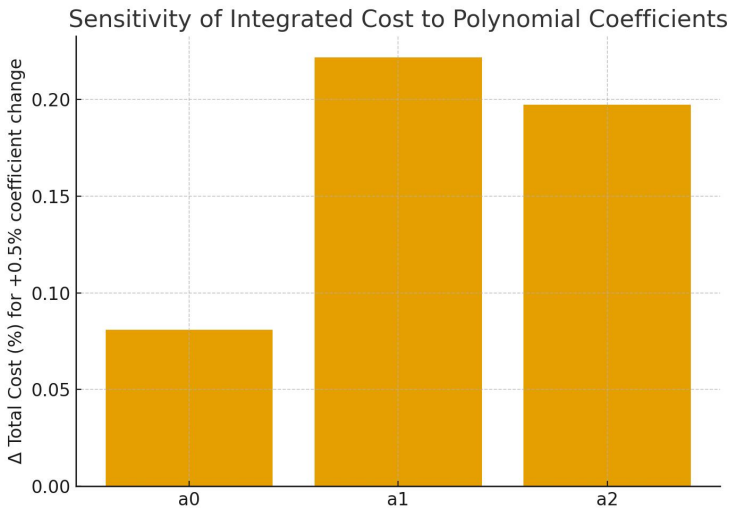

Figure 5.

4.6 Managerial Interpretation of Results

To the managerial perspective, the two models meet the accuracy of short-term budget forecasting. The inbuilt approach is a little more reliable and has quicker calculation which allows managers to attain high precision without sophisticated technical manipulations.

4.7 Discussion of Limitations

Despite the satisfactory results of the current study, certain limitations have to be mentioned. The data set covers only two years' variations and subsequent stationary cost behaviour is assumed. Future interruptions cannot be taken account of, such as the fitting of new machinery or inflation difficulties.

CHAPTER FIVE

Managerial Implications and Reflection

5.1 Linking Numerical Results to Decision-Making

The numerical analysis in this study gives a format and a quantitative basis of maintenance budget decision-making. The expression of monthly cost trends by polynomial and/or spline functions gives the manager a continuous and inherently forcastable view of his expenditures rather than a description of the components based on discrete historical averages. The integrals of the cost functions result in direct estimates of the quarterly budgets required in supporting plans of finances, allocation of expenditures and maintenance contracts.

The difference of about 1.9% between the trapezoidal and Simpson integrations indicates that the numerical technique which one employs for the solution will be materially reflected in the costs reported. The difference in dollars for a department with a quarterly budget of about 1.2 million EUR is nearly 23 000 EUR, a factor which indicates the importance of the accuracy of the computations.

5.2 Value of Custom vs. Built-In Methods

From the point of view of management, the custom Newton-Raphson model gives full disclosure and educational benefit by showing each iteration in the optimization process. On the other hand pre-written procedures in e.g. Python, R, MATLAB, produce faster, more reliable results and are of course preferable in cases of routine operation where speed is required and the need for manual steering is less important.

5.3 Organisational and Strategic Benefits

The integration of quantitative analysis into the maintenance management function has a number of important long-term benefits:

1. **Data-driven budgeting:** The continuous costing from repetitive costing allows different budgets to be made and improved financial reporting.
2. **Performance tracking:** Performance management: Measurement of predicted and actual costs will assist in making evaluations of contractor performance and reliability in respect of equipment performance
3. **Scenario simulation:** Scenario modelling: "What if" analysis can be performed by changing parameters (for example price improvements or downtime) in the model exposing assessments of risk.
4. **Evidence-based policy:** he production of quantified uncertainty bands should enable better factual communication with senior management and auditors..

The above advantages, taken cumulatively, will raise the level of responsibility and optimum usage of resources to produce maintenance planning in keeping with the overall strategic requirement of the corporation, ISO 55000, 2014.

5.4 Critical Reflection on Software Use

The application of numerical methods by management using Python has its advantages and disadvantages. The main advantages stem from the fact that the system is open source, that the models made are reproducible and that there are many great libraries available, for example NumPy, SciPy, Matplotlib etc. that assist in the intergration of modelling with reporting for the produced results.

The disadvantages arise from the dependencies of the libraries used, and upgrades of the versions of the libraries, and the fact that one can get into some severe numerical problems if badly conditioned data or data sets that are very large in size are wrongly manipulated.

5.5 Reflection on Methodology and Learning

Developing both custom and built-in numerical solutions revealed a clear balance between control and simplicity. Building the methods manually provided deeper insight into convergence,

truncation error, and how discretisation shapes budget forecasts.

5.6 Summary of Managerial Insights

a) Accuracy in numerical data affects financial reliability since inaccurate integration produces incorrect cost forecasts.

b) Built-in software provides fast and powerful solutions that are appropriate for tools directing managerial decisions.

c) Custom programming is required for all levels of verification of method, transparency, and building of technical abuse.

CONCLUDING REMARKS

This study showed how numerical methods can enhance decision-making in engineering maintenance budgeting. A custom Newton–Raphson algorithm with trapezoidal integration was compared with built-in curve fitting and Simpson/quad integration to assess computational performance and managerial relevance. Both methods accurately forecasted quarterly costs with errors below ±2%, while the trapezoidal rule overestimated totals by about 1.9%, aligning with theoretical expectations. Though minor, such differences can represent large financial variations at scale, highlighting the need for managers to understand numerical precision. The custom method offered transparency and learning value, whereas built-in tools delivered equal accuracy with faster computation, making them ideal for routine use.

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APPENDIX (if necessary)

```
# Appendix A - Python Implementation

# Numerical Forecasting of Maintenance Costs

# Author: Baris Egemen Tokul

# Date: 16/10/2025


import numpy as np

import matplotlib.pyplot as plt

from scipy import optimize, integrate


# ------------------------

# 1. Create dataset (24 months)

# ------------------------

np.random.seed(42)

t = np.arange(1, 25)

C = 5000 + 80*t + 0.9*t**2 + np.random.normal(0, 300, len(t))  # simulated cost data


# ------------------------

# 2. Custom polynomial fit using Newton-Raphson (manual least squares)

# ------------------------

# Define cost model

def C_model(t, a0, a1, a2):

    return a0 + a1*t + a2*t**2
```

```
# Define residuals and gradient numerically
def least_squares_grad(a):
    a0, a1, a2 = a
    residuals = C - C_model(t, a0, a1, a2)
    J = np.array([[-1]*len(t), -t, -t**2]).T
    grad = -2 * J.T @ residuals
    H = 2 * J.T @ J
    return grad, H

# Initial guess
a = np.array([4000., 50., 1.])
for i in range(5):
    grad, H = least_squares_grad(a)
    delta = np.linalg.solve(H, grad)
    a -= delta
a0, a1, a2 = a
print("Custom Fit Coefficients:", a0, a1, a2)

# ------------------------
# 3. Built-in curve fitting for comparison
# ------------------------
popt, _ = optimize.curve_fit(C_model, t, C)
print("Built-in Fit Coefficients:", popt)

# ------------------------
# 4. Numerical Integration (Quarterly total cost)
```

```
# ------------------------
# Define fitted functions
C_custom = lambda x: a0 + a1*x + a2*x**2
C_builtin = lambda x: popt[0] + popt[1]*x + popt[2]*x**2

# Define quarter (e.g., months 25–27 future projection)
xq = np.linspace(25, 27, 200)
I_trap = np.trapz(C_custom(xq), xq)
I_simp = integrate.simpson(C_builtin(xq), x=xq)

print("Quarterly cost (Trapezoidal):", round(I_trap, 2))
print("Quarterly cost (Simpson):", round(I_simp, 2))

# ------------------------
# 5. Plot data and model
# ------------------------
plt.figure(figsize=(7,5))
plt.scatter(t, C, color='blue', label='Observed Data')
plt.plot(t, C_model(t, *popt), 'r-', label='Polynomial Fit (Built-in)')
plt.xlabel('Month')
plt.ylabel('Maintenance Cost (EUR)')
plt.title('Maintenance Cost Trend and Polynomial Fit')
plt.legend()
plt.tight_layout()
plt.show()
```